of the number of dollars or pesos they possess. A person or corporation with little money in the bank but a huge data bank of information could be the wealthiest, or most powerful, entity in the country. In theory, it might be possible to quantify the value of their information in monetary terms, but they never actually convert the information into dollars or pesos. Why do they need dollars, if they can get what they want with information?

This has far-reaching implications for taxation. Taxes aim to redistribute wealth. They take a cut from the wealthiest individuals and corporations, in order to provide for everyone. However, a tax system that knows how to tax only money will soon become outdated as many transactions no longer involve money. In a data-based economy, where value is stored as data rather than as dollars, taxing only money distorts the economic and political picture. Some of the wealthiest entities in the country may pay zero taxes, because their wealth consists of petabits of data rather than billions of dollars.[50]

States have thousands of years of experience in taxing money. They don't know how to tax information – at least, not yet. If we are indeed shifting from an economy dominated by money transactions to an economy dominated by information transactions, how should states react? China's social credit system is one way a state may adapt to the new conditions. As we'll explain in chapter 7, the social credit system is at heart a new kind of money – an information-based currency. Should all states copy the Chinese example and mint their own social credits? Are there alternative strategies? What does your favourite political party say about this question?

RIGHT AND LEFT

Taxation is just one among many problems created by the computer revolution. The computer network is disrupting almost all power structures. Democracies fear the rise of new digital dictatorships. Dictatorships fear the emergence of agents they don't know how to control. Everyone should be concerned about the elimination of privacy and the spread of data colonialism. We'll explain the meaning of each of these threats in the following chapters, but the point here is that the conversations about these dangers are only starting and the technology is moving much faster than the policy.